

JUDGMENT SHEET
THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Writ Petition No. 78470 of 2022

MCB Bank Ltd. Vs. Member (Taxes), Board
of Revenue, Punjab, etc.

J U D G M E N T

Date of Hearing	16.04.2026
For Petitioner:	Mr. Majid Ali Wajid, Advocate.
For Respondents:	Ch. Muhammad Jawad, Yaqoob, Additional Advocate General assisted with Muhammad Imran, Senior Inspector of Stamps, Board of Revenue, Punjab, Lahore.

Hassan Nawaz Makhdoom, J.- Through this Constitutional Petition under Article 199 of the Constitution of the Islamic Republic of Pakistan, the petitioner has called in question the legality of order dated 28.09.2022 passed by respondent No.1 (Member Taxes, Board of Revenue, Punjab), whereby the claim of the petitioner for refund of e-stamp duty amounting to Rs.3,823,000/- has been declined.

2. Briefly the facts are that the petitioner-bank, in execution of a recovery decree, purchased the mortgaged property through auction and, in compliance of this Court’s directions, deposited stamp duty and obtained e-stamp papers on 11.06.2018 for issuance of a sale certificate. On the same day, however, an interim restraining order was passed in appellate proceedings, due to which the sale certificate could not be issued and the e-stamp papers remained in the custody of this Court. Upon conclusion of aforesaid proceedings, the e-stamp papers were released to the petitioner on 02.11.2020, following which a refund application was filed on 09.12.2020. The same was rejected on 26.12.2020 on the ground of delay. The petitioner challenged the said order through W.P. No.23128 of 2021, which was disposed of on 12.04.2022 with a direction to the concerned respondent to consider the claim of the petitioner under “special hardship” in terms of clause (a) to sub-rule (21) of Rule 11 of the Punjab E-Stamp Rules, 2016 (as amended). However, the competent authority, vide impugned order dated 28.09.2022, again declined the claim on the ground of limitation under Sections 49 and 50 of the Stamp Act, 1899. Hence, this petition.

3. Learned counsel for the petitioner contends that the impugned order is illegal, arbitrary, and based on misreading of law and facts. He submits that, owing to a restraining order passed by this Court, the petitioner was deprived of possession and control of the e-stamp papers, and therefore, the period of limitation could not run during such time. It is further argued that Rule 11(21) of the Punjab E-Stamp Rules, 2016 expressly provides for refund in cases of “special hardship,” and the petitioner’s case squarely falls within the said provision. Learned counsel further submits that, in an earlier round of litigation, Writ Petition No.23128 of 2021 was disposed of by this Court vide order dated 12.04.2022, whereby the matter was remanded to the competent authority with a specific direction to examine the petitioner’s claim within the scope of “special hardship” under clause (a) to sub-rule (21) of Rule 11 of the Punjab E-Stamp Rules, 2016 (as amended). However, the impugned order dated 28.09.2022 has been passed in disregard of the said direction, as the aspect of hardship has neither been addressed nor determined. He lastly submits that the reliance placed upon the advice of the Law Department, and the conclusion that the relevant rules are inconsistent with Chapter V of the Stamp Act, 1899, is legally misconceived and unsustainable. In support of his submissions, reliance is placed on a judgment reported as Mst. Sakina Bibi v. Collector, Lahore and others (1991 MLD 1959).

4. Conversely, learned Law Officer, while supporting the impugned order, has raised a preliminary objection as to the maintainability of the instant petition, *inter alia*, contending that the petitioner has an adequate and efficacious alternate remedy under the relevant statutory framework. Notwithstanding the said objection, he, upon a query from the Court, fairly concedes that the directions issued by this Court *vide* order dated 12.04.2022 have not been complied with in their true letter and spirit. He acknowledges that the competent authority, while passing the impugned order, has not undertaken the exercise mandated by this Court, particularly with regard to examining the petitioner’s claim within the ambit of “special hardship” under Rule 11(21) of the Punjab E-Stamp Rules, 2016. In these circumstances, he submits that, without

prejudice to the objection of maintainability, the matter may appropriately be remanded to the competent authority for a fresh decision in accordance with law and in true compliance of the earlier directions of this Court, *supra*.

5. Arguments heard. Record perused.

6. It is an admitted position that Writ Petition No. 23128 of 2021 was disposed of by this Court *vide* order dated 12.04.2022, whereby the matter was referred to the competent authority with specific observations. For facility of reference, paragraph No.4 of the said order is reproduced hereunder:-

“At this stage, due to the above facts, a consensus has been reached between the parties according to which this writ petition be referred to respondent No.2 who would treat it as an application/representation on behalf of the petitioner within the scope of the ground of hardship falling in clause (a) to sub-rule 21 of Rule 11 of the Punjab E-Stamp Rules, 2016 (Amended up to date) and will pass an appropriate order in accordance with law.”

(Emphasis supplied)

A careful reading of the aforesaid order dated 12.04.2022 makes it evident that this Court, instead of finally adjudicating the controversy, consciously adopted the course of remand coupled with a specific legal mandate. The matter was referred to the competent authority with a clear and unequivocal direction to treat the petitioner’s claim as an application/representation falling within the ambit of “special hardship” under clause (a) to sub-rule (21) of Rule 11 of the Punjab E-Stamp Rules, 2016, and to decide the same strictly in accordance with law.

7. Pursuant to the earlier directions of this Court, the matter was re-examined by respondent No.1; however, *vide* impugned order dated 28.09.2022, the petitioner’s claim was once again declined. A careful and comprehensive scrutiny of the said order leaves no room for doubt that the mandate of this Court has not been complied with in its true letter and spirit. For facility of reference, the relevant extract of the impugned order is reproduced hereunder:-

“Arguments heard and record perused. The petitioner was entitled to apply for the refund within the time limit of six

months from the date of instrument as laid down under section 49(b) read with Section 50(ii) of the Stamp Act, 1899. The application for refund was filed on 9.12.2020 with the delay of one year 11 months and 29 days. The delay of each day has to be explained satisfactorily. In view of the advice of the Law Department, refund cannot be granted in the instant case under Rule 32 of the Punjab Stamp (Non-Judicial) Refund, Renewal and Disposal Rules, 1954 read with Rule 11(21) of the Punjab e-Stamp Rules, 2016 because these are inconsistent with Chapter-V of the Stamp Act, 1899. Foregoing in view, the titled revision petition is dismissed being devoid of merits and without any legal force.”

A plain reading of the impugned order reveals that the rejection of the petitioner’s claim is founded primarily on the ground of limitation, with reliance upon Sections 49 and 50 of the Stamp Act, 1899, coupled with an administrative opinion of the Law Department to the effect that the subordinate rules are inconsistent with the parent statute. However, it is evident that the authority has approached the matter in a mechanical and superficial manner, without addressing the core issue which formed the basis of remand, namely, the determination of the petitioner’s claim within the statutory framework of “special hardship.”

8. It is by now a settled principle of administrative and quasi-judicial law that an authority vested with adjudicatory powers must act judiciously, apply its independent mind, and render a reasoned decision. The impugned order, however, does not reflect such application of mind. As has been authoritatively held, “*a decision which does not disclose reasons is no decision in the eyes of law,*” and further that “*reason is the heartbeat of every conclusion; without it, the order becomes lifeless and arbitrary.*” The absence of any discussion regarding the applicability of the “special hardship” provisions renders the impugned order vulnerable on this very ground¹.

9. The statutory scheme contained in sub-rules (21), (22) and (23) of Rule 11 of the Punjab E-Stamp Rules, 2016 (as amended), read with the Note appended thereto, clearly obligates the competent authority to

¹ (i) 2026 PTD 1 titled “*Messrs Coca Cola Export Corporation Pakistan Branch v. Deputy Commissioner Inland Revenue and others*”.

(ii) PLD 2017 Supreme Court 194 titled “*Khalid Humayun v. The NAB through D.G. Quetta and others*”.

(iii) 2015 SCMR 630 titled “*Muhammad Amin Muhammad Bashir Limited v. Government of Pakistan through Secretary Ministry of Finance, Central Secretariat, Islamabad and others*”.

examine whether the facts of the case fall within the ambit of hardship, including situations where the e-Stamp was not within the possession or control of the claimant or where the claimant suffered from physical incapacity. For ease, these provisions read as follows:-

“(21) If the claim for refund is on account of special hardship and the Collector considers that sanction of the Senior Member, Board of Revenue is required, he shall, through the concerned Commissioner of the Division, forward the case along with the original e-Stamp, whereupon the Senior Member, Board of Revenue shall decide the matter after affording an opportunity of hearing to the parties.

(22) The decision of the Senior Member, Board of Revenue, along with the original e-Stamp, shall be transmitted to the Collector of the District through the concerned Commissioner of the Division.

(23) The Collector shall communicate the decision to the applicant and, where refund has been sanctioned, shall cause the necessary vouchers to be prepared and delivered to the applicant, who shall acknowledge receipt thereof in the prescribed register.

***Note:** The following cases, inter alia, may be treated as “special hardship”:*

- (a) where the e-Stamp was not in the possession or power of the person claiming refund; or*
- (b) where such person suffered from any other physical inability, such as detention in jail or hospitalization.”*

These provisions are not merely procedural in nature, but confer a substantive right of consideration upon the applicant. It is equally well-settled that *“where the law requires a thing to be done in a particular manner, it must be done in that manner alone and not otherwise.”*²

10. Despite the lucidity of the above statutory mandate and the categorical directions issued by this Court, the impugned order is conspicuously silent on the aspect of hardship. No finding has been recorded as to whether the petitioner’s case falls within clause (a) of the Note to sub-rule (21), nor has any effort been made to evaluate the factual circumstances giving rise to the claim. This omission is not a mere irregularity but goes to the root of the matter, as it demonstrates a

² (i) 2025 SCMR 153 titled *“Secretary, Ministry of finance, Finance Division, Government of Pakistan and others v. Muhammad Anwar”*.

(ii) 2024 SCMR 770 titled *“Nadir Khan v. Qadir Hussain and others”*.

(iii) 2020 SCMR 2129 titled *“Ajmir Shah, Ex-Sepoy v. The Inspector General, Frontier Khyber Pakhtunkhwa and another”*.

failure to exercise jurisdiction vested in the authority. The reliance placed by learned counsel for the petitioner upon *Mst. Sakina Bibi's* case (*supra*) is of vital importance, as it directly addresses and governs the core issue involved in the present matter. For ready reference, paragraph No.8 thereof is reproduced hereunder:-

“Be that as it may, the reasons for which the Law Department opined that it was not possible to refund the stamp duty are not forthcoming on the record. It appears that the provisions of Rule 32 were not noticed which provide the refund of duty even beyond the period of two years. The question as to whether the case of the petitioner fell within the purview of Rule 32 should have been decided by the Finance Department not merely on the basis of the advice of the Law Department but after noticing the relevant facts, especially the assertion of the petitioner that he could not apply earlier for the refund, as the stamps had been handed over to the police by the Sub-Registrar and were received back on 23rd of February, 1965, only two days before the application for refund was filed. It, thus, appears that the matter has not been decided by the respondents in accordance with law.”

The principle emerging therefrom is that refund claims, particularly those involving hardship, must be decided after due and meaningful consideration of the factual background, and not merely on the basis of administrative advice. It was observed therein that the competent authority is required to consider the relevant facts independently and determine whether the case falls within the statutory framework, rather than adopting a cursory approach.

11. In the present case, the impugned order reflects a clear abdication of such duty. The authority has confined itself to the question of limitation while completely overlooking the statutory mechanism designed to mitigate hardship, thereby frustrating the very object of the rules. Such an approach is antithetical to the principles of fair adjudication and cannot be sustained in law, for it is well-established that *“justice must not only be done but must also be seen to be done,”* which necessarily requires a conscious and reasoned determination of all material issues involved.

12. In view of the foregoing reasons, this Court is of the considered opinion that the impugned order dated 28.09.2022 has been passed without lawful authority, suffers from non-compliance of binding directions of this Court, and reflects non-application of mind, which is, therefore, not sustainable in the eyes of law.

13. Consequently, this writ petition is **allowed**; the impugned order dated 28.09.2022 is declared to be without lawful authority, of no legal effect and the same is hereby set aside; the matter is remanded to respondent No.1 (Member Taxes, Board of Revenue, Punjab) for a fresh decision under the law, with a direction to determine the petitioner's claim within the scope of "special hardship" under clause (a) to sub-rule (21) of Rule 11 of the Punjab E-Stamp Rules, 2016 (as amended), in true compliance of this Court's order dated 12.04.2022 while keeping in view the case of Mst. Sakina Bibi's case (*supra*), through a reasoned and speaking order after affording due opportunity of hearing to the parties, expeditiously.

(Hassan Nawaz Makhdoom)
Judge

Riaz